

Audit Procedure

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1. Purpose

This procedure defines the framework for conducting internal audits at Acme Corp. It ensures compliance with regulatory requirements, internal policies, and industry standards, while identifying areas for operational improvement.

2. Audit Types

Financial Audit: Examination of financial records, statements, and transactions to ensure accuracy and compliance with GAAP.

Operational Audit: Assessment of operational efficiency, process effectiveness, and resource utilization across departments.

IT/Cybersecurity Audit: Review of IT controls, access management, data security, and compliance with ISO 27001 and SOC 2.

Asset Audit: Physical verification of company assets against the Asset Management System records.

Compliance Audit: Verification of adherence to external regulations such as GDPR, SOX, and local labor laws.

3. Audit Planning Phase

The Internal Audit team will:

- Develop an Annual Audit Plan (AAP) approved by the Audit Committee each December
- Issue an Audit Notification Letter (ANL) to the auditee at least 10 business days before fieldwork begins
- Conduct a risk assessment to determine audit scope and focus areas
- Assign audit team members and define roles (Lead Auditor, Reviewer, Subject Matter Expert)
- Define audit objectives, criteria, and evidence requirements

4. Fieldwork Phase

During fieldwork, auditors will:

- Conduct an opening meeting with department leadership to confirm scope and timeline

- Collect and analyze documentary evidence (logs, reports, records, system screenshots)
- Perform interviews with relevant personnel
- Conduct walkthroughs of key processes and controls
- Document findings using the standardized Audit Working Paper (AWP) template
- Flag significant findings to the Lead Auditor immediately for timely escalation

5. Findings Classification

Rating	Description	Response Deadline
Critical	Significant control failure with high risk of financial loss or regulatory breach	5 business days
High	Control weakness with material impact if not addressed	15 business days
Medium	Control gap with moderate risk; process improvement required	30 business days
Low	Minor observation or best-practice recommendation	90 business days
Informational	No immediate risk; noted for awareness	Next audit cycle

6. Reporting Phase

The Lead Auditor will issue a draft Audit Report within 10 business days of completing fieldwork. The auditee has 5 business days to provide written management responses. The final report is issued to the Audit Committee and relevant senior leadership.

7. Follow-Up

The Internal Audit team will track all agreed remediation actions in the Audit Management System. Follow-up audits are conducted to verify that critical and high findings have been adequately remediated within the agreed timelines.